Moody's

Third Quarter 2016 Earnings Call

October 21, 2016

Overview

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GLOBAL HEAD OF INVESTOR RELATIONS AND COMMUNICATIONS

Disclaimer

Certain statements contained in this presentation are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Moody's outlook for 2016 and other forward-looking statements in this presentation are made as of October 21, 2016, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, the current world-wide credit market disruptions and economic slowdown, which is affecting and could continue to affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates and other volatility in the financial markets such as that due to the UK's referendum vote whereby the UK citizens voted to withdraw from the EU; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government initiatives to respond to the current world-wide credit market disruptions and economic slowdown; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Financial Reform Act and regulations resulting from that Act; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquires to which the Company may be subject from time to time; provisions in the Financial Reform Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which the Company operates, including sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of the Company's annual report on Form 10-K for the year ended December 31, 2015, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.

Agenda

1. Third Quarter and Year-to-Date 2016 Results

Ray McDaniel, President and Chief Executive Officer

2. Financial and Operating Highlights

Linda Huber, Executive Vice President and Chief Financial Officer

3. Current 2016 Outlook

Ray McDaniel, President and Chief Executive Officer

4. Q&A

Ray McDaniel, President and Chief Executive Officer
Linda Huber, Executive Vice President and Chief Financial Officer
Mark Almeida, President, Moody's Analytics
Rob Fauber, President, Moody's Investors Service

1. Third Quarter 2016 Results

RAY MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

Third Quarter 2016 Results and Comparison to Third Quarter 2015

Moody's Corporation

» Revenue	↑ 10% to $917 million
» Operating Expense	↑ 7% to $520 million • Included an $8.4 million restructuring charge
» Operating Income	↑ 14% to $398 million • Foreign currency translation impact negligible
» Adjusted Operating Income[1]	↑ 16% to $439 million

1 Adjusted operating income is defined as operating income before depreciation, amortization and the restructuring charge.

Third Quarter 2016 Results and Comparison to Third Quarter 2015 (continued)

Moody's Corporation

» Operating Margin	• 43.3%
» Adjusted Operating Margin	• 47.8%
» GAAP EPS	↑ 15% to $1.31
» Non-GAAP EPS[1]	↑ 21% to $1.34

1 Third quarter 2016 non-GAAP EPS excludes a $0.03 impact from the restructuring charge. Third quarter 2015 non-GAAP EPS excludes a $0.03 benefit from a legacy tax matter.

Year-to-Date 2016 Performance and Comparison to Year-to-Date 2015

Moody's Corporation

» Revenue	↑ 2% to $2.7 billion • Foreign currency translation unfavorably impacted revenue by 1%
– MIS	↓ 1% to $1.8 billion
– MA	↑ 8% to $899 million
» Operating Expense	↑ 5% to $1.6 billion • Foreign currency translation favorably impacted operating expense by 2%
» Operating Income	↓ 2% to $1.1 billion • Foreign currency translation impact negligible
» Adjusted Operated Income[1]	↓ 1% to $1.2 billion

1 Adjusted operating income is defined as operating income before depreciation, amortization and the restructuring charge.

Year-to-Date 2016 Performance and Comparison to Year-to-Date 2015 (continued)

Moody's Corporation

» Operating Margin	• 41.8%
» Adjusted Operating Margin	• 45.7%
» Effective Tax Rate	• 31.5%

» Increasing FY 2016 GAAP EPS guidance range to $4.76 to $4.86

» Excluding foreign exchange gain and restructuring charge[1], non-GAAP EPS guidance range is now $4.62 to $4.72

1 Full year 2016 GAAP EPS guidance range includes an anticipated non-cash foreign exchange gain of $0.18 related to a subsidiary reorganization, offset in part by a $0.04 restructuring charge.

2. Financial and Operating Highlights

LINDA HUBER
EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

Third Quarter 2016 Results and Comparison to Third Quarter 2015

Moody's Corporation Revenue

» Total Global	↑	10% to $917 million
» US	↑	13% to $546 million
» Non-US	↑	5% to $371 million • 40% of total revenue
» Total Global	•	Foreign currency translation unfavorably impacted Moody's revenue by 1%
» Recurring Revenue	↑	3% to $460 million • 50% of total revenue

Third Quarter 2016 Results and Comparison to Third Quarter 2015 (continued)

MIS Revenue

» Total MIS	↑ 12% to $612 million
» US	↑ 11% to $391 million
» Non-US	↑ 13% to $221 million • 36% of total MIS revenue
» Total MIS	• The impact of foreign currency translation on MIS revenue was negligible

Third Quarter 2016 Results and Comparison to Third Quarter 2015 (continued)

MIS Revenue by Line of Business

- Corporate Finance: $300 million
  - Global ↑ 21%
  - US ↑ 16%
  - Non-US ↑ 32%

- Structured Finance: $104 million
  - Global ↓ 7%
  - US ↓ 9%
  - Non-US ↓ 4%

Third Quarter 2016 Results and Comparison to Third Quarter 2015 (continued)

MIS Revenue by Line of Business

- Financial Institutions: $96 million
  - Global ↑ 7%
  - US ↑ 2%
  - Non-US ↑ 11%

- Public, Project & Infrastructure Finance: $105 million
  - Global ↑ 16%
  - US ↑ 29%
  - Non-US ↓ 8%

- MIS Other: $8 million; up 4%

Third Quarter 2016 Results and Comparison to Third Quarter 2015 (continued)

MA Revenue by Geography

» Total MA	↑ 6% to $305 million
» US	↑ 19% to $154 million
» Non-US	↓ 4% to $150 million • 49% of total MA revenue
» Total MA	• Foreign currency translation unfavorably impacted MA revenue by 3%
» Total MA	↑ 3% excluding the March 2016 acquisition of GGY

Third Quarter 2016 Results and Comparison to Third Quarter 2015 (continued)

MA Revenue by Line of Business

» Research, Data and Analytics: $168 million

– Global	↑	6% • 55% of total MA revenue
– US	↑	14%
– Non-US	↓	4%
– Global	•	Foreign currency translation unfavorably impacted RD&A revenue by 3%

Third Quarter 2016 Results and Comparison to Third Quarter 2015 (continued)

MA Revenue by Line of Business

» Enterprise Risk Solutions: $102 million

– Global	↑ 10%
– US	↑ 39%
– Non-US	↓ 3%
– Global	• Foreign currency translation unfavorably impacted ERS revenue by 4%

» ERS TTM[1] Revenue ↑ 10%

» ERS TTM[1] Sales ↑ 5%

1 Trailing twelve months ended September 30, 2016.

Third Quarter 2016 Results and Comparison to Third Quarter 2015 (continued)

MA Revenue by Line of Business

- Professional Services: $36 million
  - Global ↓ 3%
  - US ↑ 6%
  - Non-US ↓ 7%

Third Quarter 2016 Results and Comparison to Third Quarter 2015 (continued)

Moody's Corporation

» Operating Expense	↑ 7% to $520 million • Foreign currency translation favorably impacted expense by 2%
» Operating Margin	• 43.3%
» Adjusted Operating Margin	• 47.8%
» Effective Tax Rate	• 30.5%

Third Quarter 2016 Capital Allocation

- During 3Q 2016, Moody’s repurchased 1.9 million shares at a total cost of $193 million, or an average cost of $103 per share, and issued 798 thousand shares as part of its employee stock-based compensation plans
- During 3Q 2016, Moody’s paid $71 million in dividends
- On October 18, 2016, Moody’s announced a quarterly dividend of $0.37 per share of Moody’s common stock payable December 12, 2016 to stockholders of record at the close of business on November 21, 2016

Year-to-Date 2016 Capital Allocation

- Over the first nine months of 2016, Moody's repurchased 7.1 million shares at a total cost of $679 million, or an average cost of $95.51 per share, and issued 2.7 million shares as part of its employee stock-based compensation plans
- Over the first nine months of 2016, Moody's paid $215 million in dividends
- As of September 30, 2016, shares outstanding totaled 191.2 million
  - 3% decline from September 30, 2015
- As of September 30, 2016, Moody's had $787 million of share repurchase authority remaining

Balance Sheet and Free Cash Flow

- As of September 30, 2016, Moody's had:
  - $3.4 billion of outstanding debt
  - $1 billion of additional borrowing capacity under its commercial paper program which is backstopped by an undrawn $1 billion dollar revolving credit facility
  - Total cash, cash equivalents and short-term investments of $2.1 billion
    - Approximately 80% held outside the US

- Free cash flow of $772 million in first nine months of 2016, down 7% from the first nine months of 2015

3. Current 2016 Outlook

RAY MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

Changes to 2016 Outlook

- Our guidance assumes foreign currency translation at end-of-quarter exchange rates. Specifically, our forecast reflects exchange rates for the British pound (£) of $1.30 to £1 and for the euro (€) of $1.12 to €1. Post-third quarter movements in foreign exchange rates have had no meaningful impact on the full year 2016 outlook.

Changes to 2016 Full-Year Financial Outlook[1]	
MCO	**Current Guidance as of October 21, 2016**
GAAP EPS	$4.76 - $4.86
Non-GAAP EPS	$4.62 - $4.72
Share repurchases[2]	Approximately $750 million
Capital expenditures	Approximately $120 million
MIS	
Global revenue	Approximately flat
Non-US revenue	Approximately flat
Corporate finance	Approximately flat
Structured finance	decrease in the mid-single-digit percent range
Financial institutions	increase in the low-single-digit percent range

1 Refer to "Moody's Corporation Reports Results for Third Quarter 2016" press release for a full review of guidance.
2 Subject to available cash, market conditions and other ongoing capital allocation decisions.

4. Q&A Session

- Ray McDaniel

  President and Chief Executive Officer, Moody's Corporation

- Linda Huber

  Executive Vice President and Chief Financial Officer, Moody's Corporation

- Mark Almeida

  President, Moody's Analytics

- Rob Fauber

  President, Moody's Investors Service

USD Market: Investment Banks' Issuance Views

Views on this page are from various investment banks. Issuance views are for both financial and non-financial US dollar issuance and may not align with Moody's revenue categorizations.

Investment Grade

- » Q3 2016 issuance up ~20%
- » Issuers taking advantage of historically low rate environment and strong investor demand
- » Lighter periods of issuance expected in 4Q around earnings blackouts (October), US elections, FOMC rate decision and other macro events
- » FY 2016 issuance expected to end the year up ~10%

High Yield

- » Q3 2016 issuance up ~35%
- » Strong investor demand resulting in attractive pricing for opportunistic issuance is a key market driver
- » Issuance volumes have moderated over the last 2-3 weeks as speculative grade market activity has shifted in favor of leveraged loans vs. high yield bonds
- » FY 2016 issuance expected to end the year down ~5%

Leveraged Loans

- » Q3 2016 issuance up ~50%
- » Leveraged loan market continues to exhibit strength on the back of an opportunistic wave of refinancing activity and growing CLO issuance
- » FY 2016 issuance expected to end the year up ~10%

Euro Market: Investment Banks' Issuance Views

Views on this page are from various investment banks. Issuance views are for both financial and non-financial euro issuance and may not align with Moody's revenue categorizations.

Investment Grade

- ECB's CSPP program continues to underpin the market; BoE's corporate bond purchase program has also officially begun
- US corporates continue to see value in accessing the Euro market and are expected to remain a heavy component of supply

High Yield

- Market is accommodative for issuers and with a large portion of deal flow due to refinancing activity
- September 2016 was second highest month on record for European high yield issuance
- Increased caution more recently driven by concerns around potential ECB QE tapering, the timing and extent of any US rate rises, renewed "hard Brexit" rhetoric, and regional European referendums/elections

Replay Details

- Available from 3:30pm (Eastern Time) October 21, 2016 until 3:30pm (Eastern Time) November 19, 2016

- Telephone Details:
  - US +1-888-203-1112
  - Non-US +1-719-457-0820
  - Passcode 1743691

- Webcast Details:
  - Go to http://ir.moodys.com
  - Click on “Events & Presentations”
  - Click on the link for “3Q 2016 Earnings Conference Call”

Appendix

Consolidated Statements of Operations (Unaudited)

Amounts in millions, except per share amounts	Three Months Ended September 30, 2016		Three Months Ended September 30, 2015		Nine Months Ended September 30, 2016		Nine Months Ended September 30, 2015	
Revenue	**$**	**917.1**	**$**	**834.9**	**$**	**2,662.1**	**$**	**2,618.6**
Expenses:								
Operating		253.2		236.1		761.3		724.4
Selling, general and administrative		225.3		220.8		683.2		669.1
Restructuring		8.4		-		12.0		-
Depreciation and amortization		32.7		28.3		93.8		84.8
Total expenses		**519.6**		**485.2**		**1,550.3**		**1,478.3**
Operating income		**397.5**		**349.7**		**1,111.8**		**1,140.3**
Non-operating (expense) income, net								
Interest expense, net		(35.4)		(25.8)		(103.8)		(87.0)
Other non-operating income, net		6.9		19.7		15.5		14.0
Total non-operating expense, net		(28.5)		(6.1)		(88.3)		(73.0)
Income before provision for income taxes		**369.0**		**343.6**		**1,023.5**		**1,067.3**
Provision for income taxes		112.4		109.8		322.2		338.1
Net income		**256.6**		**233.8**		701.3		729.2
Less: net income attributable to noncontrolling		1.3		2.2		6.1		5.8
Net income attributable to Moody's Corporation	**$**	**255.3**	**$**	**231.6**	**$**	**695.2**	**$**	**723.4**
Earnings per share attributable to Moody's common shareholders								
Basic	$	1.33	$	1.16	$	3.60	$	3.60
Diluted	$	1.31	$	1.14	$	3.55	$	3.54
Weighted average number of shares outstanding								
Basic		191.7		199.4		193.3		201.1
Diluted		194.3		202.5		196.0		204.5

Supplemental Revenue Information
(Unaudited)

Amounts in millions	Three Months Ended September 30, 2016	Three Months Ended September 30, 2015	Nine Months Ended September 30, 2016	Nine Months Ended September 30, 2015
Moody's Investors Service				
Corporate Finance	$ 299.6	$ 248.3	$ 844.7	$ 866.6
Structured Finance	104.2	112.5	306.3	335.0
Financial Institutions	95.8	89.5	280.4	273.7
Public, Project and Infrastructure Finance	105.2	90.6	309.0	291.2
MIS Other	7.5	7.2	22.6	23.1
Intersegment royalty	25.3	23.5	73.9	69.5
Sub-total MIS	637.6	571.6	1,836.9	1,859.1
Eliminations	(25.3)	(23.5)	(73.9)	(69.5)
Total MIS revenue	612.3	548.1	1,763.0	1,789.6
Moody's Analytics				
Research, Data and Analytics	167.7	157.9	500.9	465.0
Enterprise Risk Solutions	101.5	92.2	288.5	252.5
Professional Services	35.6	36.7	109.7	111.5
Intersegment revenue	4.2	3.3	9.8	9.7
Sub-total MA	309.0	290.1	908.9	838.7
Eliminations	(4.2)	(3.3)	(9.8)	(9.7)
Total MA revenue	304.8	286.8	899.1	829.0
Total Moody's Corporation revenue	**$ 917.1**	**$ 834.9**	**$ 2,662.1**	**$ 2,618.6**
Moody's Corporation revenue by geographic area				
United States	$ 545.7	$ 482.1	$ 1,571.6	$ 1,527.8
International	371.4	352.8	1,090.5	1,090.8
	$ 917.1	**$ 834.9**	**$ 2,662.1**	**$ 2,618.6**

Selected Consolidated Balance Sheet Data (Unaudited)

Amounts in millions	September 30, 2016	December 31, 2015*
Cash and cash equivalents	$ 1,746.1	$ 1,757.4
Short-term investments	311.8	474.8
Total current assets	3,016.9	3,243.1
Non-current assets	2,002.4	1,859.9
Total assets	5,019.3	5,103.0
Total current liabilities**	1,402.5	1,218.5
Total debt **	3,418.1	3,380.6
Other long-term liabilities	856.5	836.9
Total shareholders' (deficit)	(357.9)	(333.0)
Total liabilities and shareholders' (deficit)	5,019.3	5,103.0
Actual number of shares outstanding	191.2	196.1

*In the first quarter of 2016, the Company adopted a new accounting update on a retrospective basis which requires debt issuance costs to be presented as a reduction of debt rather than as an asset. Accordingly, the Company reclassified debt issuance costs, which were previously included in non-current assets, as a reduction of total debt.

** Includes $299.9 million of debt classified as a current liability as it matures in September 2017.

Selected Consolidated Balance Sheet Data (continued) (Unaudited)

Total debt consists of the following:

	September 30, 2016				
	Principal Amount	Fair Value of Interest Rate Swap (1)	Unamortized (Discount) Premium	Unamortized Debt Issuance Cost (2)	Carrying Value
Notes Payable:					
6.06% Series 2007-1 Notes due 2017	$ 300.0	$ -	$ -	$ (0.1)	$ 299.9
5.50% 2010 Senior Notes, due 2020	500.0	20.0	(1.4)	(1.7)	516.9
4.50% 2012 Senior Notes, due 2022	500.0	-	(2.5)	(2.2)	495.3
4.875% 2013 Senior Notes, due 2024	500.0	-	(2.1)	(2.8)	495.1
2.75% 2014 Senior Notes (5-Year), due 2019	450.0	8.0	(0.5)	(1.9)	455.6
5.25% 2014 Senior Notes (30-Year), due 2044	600.0	-	3.3	(6.0)	597.3
1.75% 2015 Senior Notes, due 2027	561.9	-	-	(3.9)	558.0
Total debt	$ 3,411.9	$ 28.0	$ (3.2)	$ (18.6)	$ 3,418.1
Current portion					(299.9)
Total long-term debt					$ 3,118.2

	December 31, 2015				
	Principal Amount	Fair Value of Interest Rate Swap (1)	Unamortized (Discount) Premium	Unamortized Debt Issuance Cost (2)	Carrying Value
Notes Payable:					
6.06% Series 2007-1 Notes due 2017	$ 300.0	$ -	$ -	$ (0.2)	$ 299.8
5.50% 2010 Senior Notes, due 2020	500.0	9.4	(1.6)	(2.0)	505.8
4.50% 2012 Senior Notes, due 2022	500.0	-	(2.8)	(2.5)	494.7
4.875% 2013 Senior Notes, due 2024	500.0	-	(2.3)	(3.1)	494.6
2.75% 2014 Senior Notes (5-Year), due 2019	450.0	2.3	(0.5)	(2.4)	449.4
5.25% 2014 Senior Notes (30-Year), due 2044	600.0	-	3.4	(6.2)	597.2
1.75% 2015 Senior Notes, due 2027	543.1	-	-	(4.0)	539.1
Total debt	$ 3,393.1	$ 11.7	$ (3.8)	$ (20.4)	$ 3,380.6

(1) Reflects interest rate swaps on the 2010 Senior Notes and the 2014 Senior Notes (5-Year).

(2) Pursuant to a new accounting update, unamortized debt issuance costs are presented as a reduction to the carrying value of the debt.

Non-operating (Expense) Income, Net

	Three Months Ended September 30,		Nine Months Ended September 30,	
Amounts in millions	**2016**	**2015**	**2016**	**2015**
Interest:				
Expense on borrowings	**$ (35.6)**	$ (29.8)	**$ (105.6)**	$ (88.8)
Income	**2.5**	2.8	**8.2**	7.0
Legacy Tax benefit	**0.2**	0.7	**0.2**	0.7
Expense on UTPs and other tax related liabilities	**(2.5)**	0.4	**(7.0)**	(6.3)
Interest Capitalized	**-**	0.1	**0.4**	0.4
Total interest expense, net	**$ (35.4)**	$ (25.8)	**$ (103.8)**	$ (87.0)
Other non-operating (expense) income, net:				
FX gain/(loss)	**$ 4.3**	$ 9.7	**$ 9.1**	$ (2.5)
Legacy Tax benefit	**1.6**	6.4	**1.6**	6.4
Joint venture income	**2.3**	3.5	**7.2**	8.8
Other	**(1.3)**	0.1	**(2.4)**	1.3
Other non-operating (expense) income, net	**6.9**	19.7	**15.5**	14.0
Total non-operating (expense) income, net	**$ (28.5)**	$ (6.1)	**$ (88.3)**	$ (73.0)

Financial Information by Segment

The table below presents revenue, adjusted operating income and operating income by reportable segment. The Company defines adjusted operating income as operating income excluding depreciation and amortization and restructuring.

	Three Months Ended September 30,							
	2016				2015			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	$ 637.6	$ 309.0	$ (29.5)	$ 917.1	$ 571.6	$ 290.1	$ (26.8)	$ 834.9
Operating, selling, general and administrative expense	272.8	235.2	(29.5)	478.5	268.1	215.6	(26.8)	456.9
Adjusted operating income	364.8	73.8	-	438.6	303.5	74.5	-	378.0
Restructuring	7.6	0.8	-	8.4	-	-	-	-
Depreciation and amortization	19.1	13.6	-	32.7	16.9	11.4	-	28.3
Operating income	$ 338.1	$ 59.4	$ -	$ 397.5	$ 286.6	$ 63.1	$ -	$ 349.7
Adjusted operating margin	57.2%	23.9%		47.8%	53.1%	25.7%		45.3%
Operating margin	53.0%	19.2%		43.3%	50.1%	21.8%		41.9%

	Nine Months Ended September 30,							
	2016				2015			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	$ 1,836.9	$ 908.9	$ (83.7)	$ 2,662.1	$ 1,859.1	$ 838.7	$ (79.2)	$ 2,618.6
Operating, selling, general and administrative expense	830.1	698.1	(83.7)	1,444.5	836.4	636.3	(79.2)	1,393.5
Adjusted operating income	1,006.8	210.8	-	1,217.6	1,022.7	202.4	-	1,225.1
Restructuring	10.2	1.8	-	12.0	-	-	-	-
Depreciation and amortization	54.8	39.0	-	93.8	48.7	36.1	-	84.8
Operating income	$ 941.8	$ 170.0	$ -	$ 1,111.8	$ 974.0	$ 166.3	$ -	$ 1,140.3
Adjusted operating margin	54.8%	23.2%		45.7%	55.0%	24.1%		46.8%
Operating margin	51.3%	18.7%		41.8%	52.4%	19.8%		43.5%

Transaction and Relationship Revenue

The tables below summarize the split between transaction and relationship revenue. In the MIS segment, excluding MIS Other, transaction revenue represents the initial rating of a new debt issuance as well as other one-time fees while relationship revenue represents the recurring monitoring of a rated debt obligation and/or entities that issue such obligations, as well as revenue from programs such as commercial paper, medium-term notes and shelf registrations. In MIS Other, transaction revenue represents revenue from professional services and outsourcing engagements and relationship revenue represents subscription based revenues. In the MA segment, relationship revenue represents subscription-based revenues and software maintenance revenue. Transaction revenue in MA represents software license fees and revenue from risk management advisory projects, training and certification services, and outsourced research and analytical engagements.

	Three Months Ended September 30,					
	2016			2015		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	$211.2	$88.4	$299.6	$161.6	$86.7	$248.3
	70%	30%	100%	65%	35%	100%
Structured Finance	$62.8	$41.4	$104.2	$69.8	$42.7	$112.5
	60%	40%	100%	62%	38%	100%
Financial Institutions	$39.4	$56.4	$95.8	$30.9	$58.6	$89.5
	41%	59%	100%	35%	65%	100%
Public, Project and Infrastructure	$66.7	$38.5	$105.2	$51.0	$39.6	$90.6
	63%	37%	100%	56%	44%	100%
MIS Other	$2.6	$4.9	$7.5	$3.0	$4.2	$7.2
	35%	65%	100%	42%	58%	100%
Total MIS	**$382.7**	**$229.6**	**$612.3**	$316.3	$231.8	$548.1
	63%	**37%**	**100%**	58%	42%	100%
Moody's Analytics	**$74.6**	**$230.2**	**$304.8**	$71.5	$215.3	$286.8
	24%	**76%**	**100%**	25%	75%	100%
Total Moody's Corporation	**$457.3**	**$459.8**	**$917.1**	$387.8	$447.1	$834.9
	50%	**50%**	**100%**	46%	54%	100%

Transaction and Relationship Revenue (continued)

The tables below summarize the split between transaction and relationship revenue. In the MIS segment, excluding MIS Other, transaction revenue represents the initial rating of a new debt issuance as well as other one-time fees while relationship revenue represents the recurring monitoring of a rated debt obligation and/or entities that issue such obligations, as well as revenue from programs such as commercial paper, medium-term notes and shelf registrations. In MIS Other, transaction revenue represents revenue from professional services and outsourcing engagements and relationship revenue represents subscription based revenues. In the MA segment, relationship revenue represents subscription-based revenues and software maintenance revenue. Transaction revenue in MA represents software license fees and revenue from risk management advisory projects, training and certification services, and outsourced research and analytical engagements.

	Nine Months Ended September 30,					
	2016			2015		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	$577.8	$266.9	$844.7	$608.0	$258.6	$866.6
	68%	32%	100%	70%	30%	100%
Structured Finance	$180.6	$125.7	$306.3	$211.9	$123.1	$335.0
	59%	41%	100%	63%	37%	100%
Financial Institutions	$106.2	$174.2	$280.4	$101.4	$172.3	$273.7
	38%	62%	100%	37%	63%	100%
Public, Project and Infrastructure	$193.7	$115.3	$309.0	$178.1	$113.1	$291.2
	63%	37%	100%	61%	39%	100%
MIS Other	$8.2	$14.4	$22.6	$10.4	$12.7	$23.1
	36%	64%	100%	45%	55%	100%
Total MIS	**$1,066.5**	**$696.5**	**$1,763.0**	$1,109.8	$679.8	$1,789.6
	60%	**40%**	**100%**	62%	38%	100%
Moody's Analytics	**$216.7**	**$682.4**	**$899.1**	$199.2	$629.8	$829.0
	24%	**76%**	**100%**	24%	76%	100%
Total Moody's Corporation	**$1,283.2**	**$1,378.9**	**$2,662.1**	$1,309.0	$1,309.6	$2,618.6
	48%	**52%**	**100%**	50%	50%	100%

Non-GAAP Adjusted Operating Income and Adjusted Operating Margin

The tables below reflect certain adjusted results that the SEC defines as "non-GAAP financial measures" as well as a reconciliation of each non-GAAP measure to its most directly comparable GAAP measure. Management believes that such non-GAAP financial measures, when read in conjunction with the Company's reported results, can provide useful supplemental information for investors analyzing period-to-period comparisons of the Company's performance, facilitate comparisons to competitors' operating results and to provide greater transparency to investors of supplemental information used by management in its financial and operational decision-making. These non-GAAP measures, as defined by the Company, are not necessarily comparable to similarly defined measures of other companies. Furthermore, these non-GAAP measures should not be viewed in isolation or used as a substitute for other GAAP measures in assessing the operating performance or cash flows of the Company.

The table below reflects a reconciliation of the Company's operating income to adjusted operating income. The Company defines adjusted operating income as operating income excluding depreciation and amortization and restructuring charges. The Company utilizes adjusted operating income because management deems this metric to be a useful measure for assessing the operating performance of Moody's, measuring the Company's ability to service debt, fund capital expenditures, and expand its business. Adjusted operating income excludes depreciation and amortization because companies utilize productive assets of different ages and use different methods of both acquiring and depreciating productive assets. Adjusted Operating Income also excludes restructuring charges as the frequency and magnitude of these charges may vary widely across periods and companies. Management believes that the exclusion of these items, detailed in the reconciliation below, allows for a more meaningful comparison of the Company's results from period to period and across companies. The Company defines adjusted operating margin as adjusted operating income divided by revenue.

	Three Months Ended September 30,		Nine Months Ended September 30,	
(amounts in millions)	**2016**	**2015**	**2016**	**2015**
Operating income	$ **397.5**	$ 349.7	$ **1,111.8**	$ 1,140.3
Restructuring	**8.4**	-	**12.0**	-
Depreciation & amortization	**32.7**	28.3	**93.8**	84.8
Adjusted operating income	$ **438.6**	$ 378.0	$ **1,217.6**	$ 1,225.1
Operating margin	**43.3%**	41.9%	**41.8%**	43.5%
Adjusted operating margin	**47.8%**	45.3%	**45.7%**	46.8%

	Projected for the Year Ending December 31, 2016
Operating margin guidance	Approximately 41%
Depreciation and amortization	Approximately 4%
Restructuring	Negligible
Adjusted operating margin guidance	Approximately 45%

Free Cash Flow

The table below reflects a reconciliation of the Company's net cash flows from operating activities to free cash flow. The Company defines free cash flow as net cash provided by operating activities minus payments for capital additions. Management believes that free cash flow is a useful metric in assessing the Company's cash flows to service debt, pay dividends and to fund acquisitions and share repurchases. Management deems capital expenditures essential to the Company's product and service innovations and maintenance of Moody's operational capabilities. Accordingly, capital expenditures are deemed to be a recurring use of Moody's cash flow.

	Nine Months Ended September 30,	
(amounts in millions)	**2016**	**2015**
Net cash flows from operating activities	$ **856.6**	$ 893.5
Capital additions	**(84.8)**	(65.9)
Free cash flow	$ **771.8**	$ 827.6
Net cash used in investing activities	$ **(2.4)**	$ (81.5)
Net cash used in financing activities	$ **(882.6)**	$ (512.5)

	Projected for the Year Ending December 31, 2016
Net cash flows from operating activities guidance	Approximately $1.1 billion
Capital additions guidance	(Approximately $120 million)
Free cash flow guidance	Approximately $1.0 billion

Non-GAAP Diluted Earnings Per Share Attributable to Moody's Common Shareholders

The Company presents this non-GAAP measure to exclude restructuring charges in 2016 and a Legacy Tax benefit in the third quarter of 2015 to allow for a more meaningful comparison of Moody's diluted earnings per share from period to period. Below is a reconciliation of these measures to their most directly comparable U.S. GAAP amount:

(amounts in millions)	Three Months Ended September 30,		Nine Months Ended September 30,	
	2016	**2015**	**2016**	**2015**
Diluted EPS - GAAP	$ 1.31	$ 1.14	$ 3.55	$ 3.54
Restructuring	0.03	-	0.04	-
Legacy Tax	-	(0.03)	-	(0.03)
Diluted EPS - Non-GAAP	$ 1.34	$ 1.11	$ 3.59	$ 3.51

	Projected for the year ending December 31, 2016
Diluted EPS attributable to Moody's common	$ 4.76 - 4.86
FX gain due to subsidiary reorganization	(0.18)
Restructuring	0.04
Diluted EPS attributable to Moody's common shareholders - Non-GAAP Guidance	$ 4.62 - 4.72

2016 Outlook

Moody's outlook for 2016 is based on assumptions about many geopolitical conditions and macroeconomic and capital market factors, including interest rates, foreign currency exchange rates, corporate profitability and business investment spending, merger and acquisition activity, consumer borrowing and securitization, and the amount of debt issued. These assumptions are subject to some degree of uncertainty, and results for the year could differ materially from our current outlook. Moody's guidance assumes foreign currency translation at end-of-quarter exchange rates. Specifically, our forecast reflects exchange rates for the British pound (£) of $1.30 to £1 and for the euro (€) of $1.12 to €1. Post-third quarter movements in foreign exchange rates had no meaningful impact on the full year 2016 outlook.

Full-year 2016 Moody's Corporation guidance

MOODY'S CORPORATION	Current guidance as of October 21, 2016	Last publicly disclosed guidance on September 28, 2016
Revenue	increase in the low-single-digit percent range	NC
Operating expenses	increase in the mid-single-digit percent range	NC
Depreciation & amortization	Approximately $130 million	NC
Operating margin	Approximately 41%	NC
Adjusted operating margin	Approximately 45%	NC
Effective tax rate	31% - 31.5%	NC
GAAP EPS	$4.76 to $4.86	$4.70 to $4.80
Non-GAAP EPS	$4.62 to $4.72	$4.55 to $4.65
Capital expenditures	Approximately $120 million	Approximately $125 million
Free cash flow	Approximately $1 billion	NC
Share repurchases[1]	Approximately $750 million	Approximately $1 billion

Full-year 2016 revenue guidance

MIS	Current guidance as of October 21, 2016	Last publicly disclosed guidance on September 28, 2016
MIS global	Approximately flat	decrease in the low-single-digit percent range
MIS U.S.	Approximately flat	NC
MIS Non-U.S.	Approximately flat	decrease in the low-single-digit percent range
CFG	Approximately flat	decrease in the low-single-digit percent range
SFG	decrease in the mid-single-digit percent range	decrease in the high-single-digit percent range
FIG	increase in the low-single-digit percent range	increase in the mid-single-digit percent range
PPIF	increase approximately 10%	NC
MA		
MA global	increase in the mid-single-digit percent range	NC
MA U.S.	increase in the low-double-digit percent range	NC
MA Non-U.S.	increase in the low-single-digit percent range	NC
RD&A	increase in the high-single-digit percent range	NC
ERS	increase in the high-single-digit percent range	NC
PS	decrease in the low-single-digit percent range	NC

NC- There is no difference between the Company's current guidance range and the last publicly disclosed guidance range for this item.

1 Subject to available cash, market conditions and other ongoing capital allocation decisions

Moody's

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